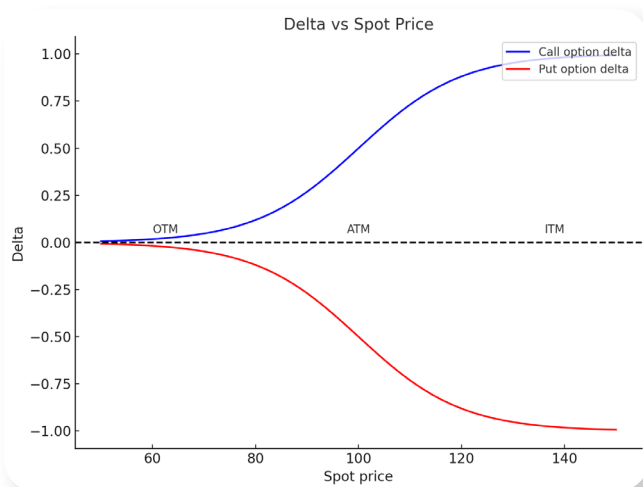


For example, if the Nifty index moves by ₹50 and the option moves by ₹25, the delta would be 0.5.

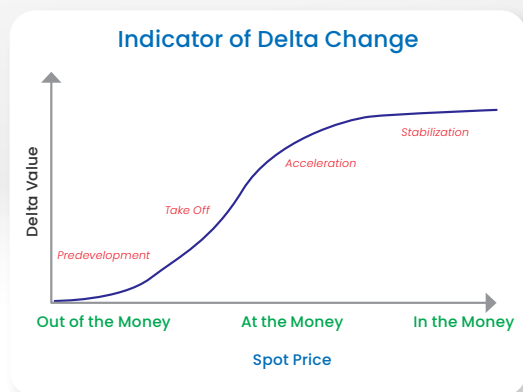
The delta is equal to the change in underlying asset price divided by the change in option price. The maximum delta can be "1" because an index has a delta of 1.



Note that call options have a positive delta while put options have a negative one.

Based on the delta, you can predict changes in option prices. For instance, suppose the market moves up by ₹50, and the delta of a put option is 0.4. Then, the premium of the put would decrease by ₹20.

You must also note that the sums of the absolute value of the put and call delta for a strike price will always be equal to 1. For example, if you have a call with a delta of 0.63, the corresponding put delta will be -0.37 (1 minus 0.63 is 0.37). Put delta is always negative.



Typically, the delta is closer to 1 for ITM options. The probability of profit in ITM options shifts drastically with underlying asset price changes. So, their premiums also move drastically.

The delta moves closer to zero as you move further out of the money. It happens because of the lower probability of these options becoming profitable. Their premiums are less sensitive to price changes in the underlying asset.